CHAPTER

11

Economics of Development and Planning

A good plan may fail due to faulty implementation. But a faulty plan cannot succeed through good implementation.

"Plan your work for today and every day, then work your plan."

-Margaret Thatcher

Learning Objectives

1. To understand the process, features and determinants of economic development.
2. To study the case for and against planning and to compare the various types of planning.
3. To describe the functions of NITI Aayog.

11.1 Meaning of Development and Underdevelopment

Introduction

The concept "development" refers to the structural changes towards betterment. Until the World War II, interest was rarely shown on the problems of the present day third World Countries. After the Second World War, economists started devoting their attention towards analyzing the problems of underdeveloped countries and formulating theories and models of development and growth. The Under Developed Countries (UDCs) were once the colonies of England and other European countries. After becoming free and independent, there was an awakening to march towards economic development.

Approaches to Economic Development

There are two main approaches to the concept of development viz i) the traditional approach and ii) the new welfare oriented approach.

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